

past, say at least five, *provided* the data do not represent a large net upward movement of the market as a whole. In the latter case spectacularly favorable results may be achieved in unorthodox ways—as will be demonstrated in our following section on “performance” funds. Such results in themselves may indicate only that the fund managers are taking undue speculative risks, and getting away with same *for the time being*.

“Performance” Funds

One of the new phenomena of recent years was the appearance of the cult of “performance” in the management of investment funds (and even of many trust funds). We must start this section with the important disclaimer that it does not apply to the large majority of well-established funds, but only to a relatively small section of the industry which has attracted a disproportionate amount of attention. The story is simple enough. Some of those in charge set out to get much better than average (or DJIA) results. They succeeded in doing this for a while, garnering considerable publicity and additional funds to manage. The aim was legitimate enough; unfortunately, it appears that, in the context of investing really sizable funds, the aim cannot be accomplished without incurring sizable risks. And in a comparatively short time the risks came home to roost.

Several of the circumstances surrounding the “performance” phenomenon caused ominous headshaking by those of us whose experience went far back—even to the 1920s—and whose views, for that very reason, were considered old-fashioned and irrelevant to this (second) “New Era.” In the first place, and on this very point, nearly all these brilliant performers were young men—in their thirties and forties—whose direct financial experience was limited to the all but continuous bull market of 1948–1968. Secondly, they often acted as if the definition of a “sound investment” was a stock that was likely to have a good rise in the market in the next few months. This led to large commitments in newer ventures at prices completely disproportionate to their assets or recorded earnings. They could be “justified” only by a combination of naïve hope in the future accomplishments of these enterprises with an apparent shrewdness in exploiting the speculative enthusiasms of the uninformed and greedy public.